

NAME:.....ADM NO.....

SCHOOL:.....DATE

BUSINESS STUDIES (565/2)

FORM 4 PAPER 2

END OF TERM 2 – 2020

Time: 2:30Hours

MERU CENTRAL SUBCOUNTY JOINT EXAMINATION(2020)

INSTRUCTIONS TO CANDIDATES

1. Write your name and Admission number in the spaces provided above
2. Answer any five questions

1 a) Describe five features of economic resources (10marks)
— b) Explain five internal economies of scale that a firm can enjoy as its scale of production increases. (10marks)

2a) Explain five important of filing documents in an organization (10marks)
b) Explain five factors that determine the size of a firm (10marks)

3a) The following trial balance was prepared from the books of Muranga traders as at 31st Dec 2018

Muranga traders Trial balance As at 31 st Dec 2018		
<u>Instructions for Completing the Monthly SDVOB Compliance Report – SDVOB 101 - Vendors</u>	Dr (shs)	Cr (shs)
The SDVOB Monthly Reporting Form is to be completed by the Contractor/Vendor, and submitted by the 10 th day of each month for the duration of the Contract. This form should include all (e.g. SDVOB and non SDVOB) Subcontractors and/or Suppliers assigned by the Contractor/Vendor to perform work during the contract. This reporting should also include payments made by your Subcontractors and/or Suppliers to SDVOB firms.		-900,000
Sales	500,000	
Purchases	-60,000	-20,000
Returns	-30,000	
Carriage inwards	-3,000	
Carriage outwards	100,000	
Stock (jan 2018)	-12,000	-60,000
Rent	300,000	
Delivery van	-60,000	
Bank		-50,000
Creditors	100,000	
Debtors	-18,000	
Interest	-7,000	
General expenses		-178,000
Capital		
Complete the form as specified below.	1,190,000	1,190,000

Contract No.

Indicate the DOS Contract No.

Contractor/Vendor Name and Address

Provide your firm's name and address.

Federal ID No.

Enter your firm's Federal ID No.

Goals

Indicate SDVOB participation goals.

Reporting Period

Fill in the month and year of reporting period.

Description of Project

Briefly describe the work you are providing under the terms of this contract.

Firm Name and Address

Provide the name, address and phone number of **all** Subcontractors/Suppliers assigned by the Contractor/Vendor on this contract or purchase agreement(s).

Federal ID No.

Enter the Subcontractor's/Supplier's Federal ID No. If no Federal ID No. has been assigned, provide only the owner's last four (4) digits of his or her Social Security No.

Payment This Month

Indicate the amount paid *this month* to each Subcontractor/Supplier. If there was no income activity for a Subcontractor/Supplier, please check the box indicating "No Payment This Month."

Contract Amount

Enter the total contract amount or purchase agreement(s) amount for each Subcontractor/Supplier.

Description of Work/Supplies

Briefly describe the work performed or supplies provided by each Subcontractor/Supplier.

Submit to: dos.sm.sdvob@dos.ny.gov

Additional Information

- Link to the Directory of NYS certified SDVOB firms: <https://online.ogs.ny.gov/SDVOB/search>
- If you have any questions, contact the DOS SDVOB Program by email at dos.sm.sdvob@dos.ny.gov or by phone at 518-474-2754.

~~Stock on 31st Dec 2018 was at sh.130,000 required,
Prepare a trading profit and loss account for the year ended 31st Dec 20189. (10marks)~~

~~3b) Explain any five limitations of advertising goods in newspapers (10marks)~~

~~4a) Explain 5 ways of correcting balance of payment deficit. (10marks)~~

~~b) Explain five factors that are likely to lead to high birth rate in Kenya. (10 marks)~~

~~5a) Explain five challenges that may be faced by a producer who sells goods directly to consumers. (10 marks)~~

~~b) On March 1 2017, Lyon had cash in hand sh.87,000 and cash at bank sh.250,000. During the month, the following transactions took place:~~

~~**2017**~~

~~March 2: Cash sales sh.60,000~~

~~3: Paid salaries sh.101,500 by cheque~~

~~7: Received a cheque of sh.76,000 from Henry after allowing him a cash discount of 5%~~

- ~~13: Bought office furniture by cheque sh.86,000~~
- ~~17: Settled Marita's account for sh.34,200 in cash, having deducted sh.800 cash discount.~~
- ~~20: Received a cheque for sh.165,000 in respect of cash sales.~~
- ~~22: Paid wages sh,25,000 in cash.~~
- ~~24: Withdrew sh.32,000 from the bank for office use.~~
- ~~25: Withdrew sh.4000 cash for personal use~~
- ~~29: received sh.17,000 cash form Alvin in settlement of his account less sh.1000 cash discount.~~
- ~~31: Deposited all the money into the bank except sh.24,000.~~

Required:

Prepare a three column cash book duly balanced. (10 marks)

6a) Differentiate between life assurance and property insurance (10marks)

b) Explain five circumstances under which personal selling may be most appropriate. (10 marks)